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CASE NAME: Sim v. Tesla Inc., et al.

CASE NO.: 25SMCV01568

MOTION: Motion to Compel Arbitration

HEARING DATE: 8/3/2026

LEGAL STANDARD

Under California and federal law, public policy favors arbitration as an efficient and less expensive means of resolving private disputes. (Moncharsh v. Heily & Blase (1992) 3 Cal.4th 1, 8-9; AT&T Mobility LLC v. Concepcion (2011) 563 U.S. 333, 339.) Accordingly, whether an agreement is governed by the California Arbitration Act ("CAA") or the Federal Arbitration Act ("FAA"), courts resolve doubts about an arbitration agreement's scope in favor of arbitration. (Moncharsh, supra, 3 Cal.4th at 9; Comedy Club, Inc. v. Improv West Assocs. (9th Cir. 2009) 553 F.3d 1277, 1284; see also Engalla v. Permanente Med. Grp., Inc. (1997) 15 Cal.4th 951, 971-972 ["California law incorporates many of the basic policy objectives contained in the Federal Arbitration Act, including a presumption in favor of arbitrability [citation] and a requirement that an arbitration agreement must be enforced on the basis of state law standards that apply to contracts in general"].) "[U]nder both the FAA and California law, 'arbitration agreements are valid, irrevocable, and enforceable, save upon such grounds as exist at law or in equity for the revocation of any contract.' " (Higgins v. Superior Crout (2006) 140 Cal.App.4th 1238, 1247.)

“Code of Civil Procedure section 1281.2 requires a trial court to grant a petition to compel arbitration if the court determines that an agreement to arbitrate the controversy exists.” (Avery v. Integrated Healthcare Holdings, Inc. (2013) 218 Cal.App.4th 50, 59, quotations omitted.) Accordingly, “when presented with a petition to compel arbitration, the court’s first task is to determine whether the parties have in fact agreed to arbitrate the dispute.” (Ibid.) A petition to compel arbitration is in essence a suit in equity to compel specific performance of a contract. (Id. at 71.) As with any other specific performance claim, “a party seeking to enforce an arbitration agreement must show the agreement’s terms are sufficiently definite to enable the court to know what it is to enforce.” (Ibid. [internal citations omitted].) “Only the valid and binding agreement of the parties, including all material terms well-defined and clearly expressed, may be ordered specifically performed.” (Ibid.) An arbitration agreement “must be so interpreted as to give effect to the mutual intention of the parties as it existed at the time of contracting, so far as the same is ascertainable and lawful.” (Civ. Code, § 1636.) The language of the contract governs its interpretation if it is clear and explicit. (Civ. Code, § 1368.) If uncertainty exists, “the language of a contract should be interpreted most strongly against the party who caused the uncertainty to exist.” (Civ. Code, § 1654.)

As with any contract, mutual assent or consent is necessary for the formation of a valid arbitration agreement. (Civ. Code, §§ 1550, 1565.) “Consent is not mutual, unless the parties all agree upon the same thing in the same sense.” (Civ. Code, § 1580.) The party seeking to compel arbitration bears the burden of proving the existence of a valid arbitration agreement by the preponderance of the evidence. (Engalla v. Permanente Medical Group, Inc. (1997) 15 Cal.4th 951, 972.) It would then be plaintiff’s burden, in opposing the motion, to prove by a preponderance of the evidence any fact necessary to her opposition. (See Ibid.) “In these summary proceedings, the trial court sits as a trier of fact, weighing all the affidavits, declarations, and other documentary evidence, as well as oral testimony received at the court’s discretion, to reach a final determination.” (Ibid.)

ANALYSIS

Defendant Tesla, Inc. moves to compel Plaintiff Joyce Yong Sim’s claims to arbitration in accordance with their arbitration agreement and to stay this action pending the outcome of

arbitration.

Evidentiary Issues

Defendant's request for
judicial notice is GRANTED.

Agreement to Arbitrate

Defendant presents evidence that Plaintiff executed a Motor Vehicle Order Agreement ("Order Agreement") and a Retail Installment Sale Contract ("Sale Contract"), the terms of which require him to resolve any disputes concerning the purchase or condition of the subject vehicle by arbitration. (Kim Decl., ¶ 3.) On September 2, 2021, Plaintiff placed an order for the Vehicle on Tesla's website. (Id. ¶¶ 3-4.) When placing the order for the Vehicle, Plaintiff accepted the terms and conditions of the Order Agreement. (Kim Decl. ¶¶ 3-4, Ex. 1.) In order for Plaintiff to place his order for the Vehicle he had to do so online via Tesla's computerized ordering process. Plaintiff placed the order for the Subject Vehicle by clicking a button that read "Place Order" on Tesla's website. (Id. at ¶ 4.) Plaintiff would not have been able to place the order without clicking this button on Tesla's website or authorizing someone to do so on his behalf. (Id.) Immediately below the "Place Order" button would have appeared text in bold font advising Plaintiff that by clicking "Place Order" he would be agreeing to terms and conditions of the Order Agreement, a hyperlink to which appeared in bold font. (Id.) Moreover, the Order Agreement is available for Plaintiff to view on his mytesla.com account for as long as the customer owns the vehicle. (Id. ¶ 14.) The Order Agreement is four-page document. (Id., Ex. 1.) Page 3 of the Order Agreement contains a prominently-displayed arbitration agreement with a distinctive border, which reads:

"Agreement

to Arbitrate. Please carefully read this provision, which applies to any dispute between you and Tesla, Inc. and its affiliates, (together "Tesla"). If you have a concern or dispute, please send a written notice describing it and your desired resolution to .

If

not resolved within 60 days, you agree that any dispute arising out of or relating to any aspect of the relationship between you and Tesla will not be

decided by a judge or jury but instead by a single arbitrator in an arbitration administered by the American Arbitration Association (AAA) under its Consumer Arbitration Rules. This includes claims arising before this Agreement, such as claims related to statements about our products.

We

will pay all AAA fees for any arbitration, which will be held in the city or county of your residence. To learn more about the Rules and how to begin an arbitration, you may call any AAA office or go to www.adr.org. The arbitrator may only resolve disputes between you and Tesla, and may not consolidate claims without the consent of all parties. The arbitrator cannot hear class or representative claims or requests for relief on behalf of others purchasing or leasing Tesla vehicles. In other words, you and Tesla may bring claims against the other only in your or its individual capacity and not as a plaintiffs or class member in any class or representative action. If a court or arbitrator decides that any part of this agreement to arbitrate cannot be enforced as to a particular claim for relief or remedy, then that claim or remedy (and only that claim or remedy) must be brought in court and any other claims must be arbitrated.

If

you prefer, you may instead take an individual dispute to small claims court. You may opt out of arbitration within 30 days after signing this Agreement by sending a letter to: Tesla, Inc.; P.O. Box 15430; Fremont, CA 94539-7970, stating your name, Vehicle Identification Number, and intent to opt out of the arbitration provision. If you do not opt out, this agreement to arbitrate overrides any different arbitration agreement between us, including any arbitration agreement in a lease or finance contract."

(Id.,

Ex. 1, p. 3.)

While a customer may opt out per the terms of the Order Agreement, Plaintiff

did

not do so. (Kim Decl. ¶ 7.)

Additionally, on January 16, 2022,

Plaintiff took delivery of the Vehicle from Defendant. Prior to taking delivery of the Vehicle, Plaintiff executed the Sale Contract. (Kim Decl. ¶¶ 3, 8, Ex.

2.) The last page provides a notice that reads: "ARBITRATION PROVISION" and "PLEASE REVIEW – IMPORTANT – AFFECTS YOUR LEGAL RIGHTS" (Id., Ex. 2 p. 7.)

The
arbitration provision further provides:

"1.

EITHER YOU OR WE MAY CHOOSE TO HAVE ANY DISPUTE BETWEEN US DECIDED BY
ARBITRATION AND NOT IN COURT OR BY JURY TRIAL.

2.

IF A DISPUTE IS ARBITRATED, YOU WILL GIVE UP YOUR RIGHT TO PARTICIPATE AS A
CLASS REPRESENTATIVE OR CLASS MEMBER ON ANY CLASS CLAIM YOU MAY HAVE AGAINST US
INCLUDING ANY RIGHT TO CLASS ARBITRATION OR ANY CONSOLIDATION OF INDIVIDUAL ARBITRATIONS.

3.

DISCOVERY AND RIGHTS TO APPEAL IN ARBITRATION ARE GENERALLY MORE LIMITED THAN
IN A LAWSUIT, AND OTHER RIGHTS THAT YOU AND WE WOULD HAVE IN COURT MAY NOT BE
AVAILABLE IN ARBITRATION.

Any

claim or dispute, whether in contract, tort, statute or otherwise (including
the interpretation and scope of this Arbitration Provision, and the arbitrability
of the claim or dispute), between you and us or our employees, agents,
successors or assigns, which arises out of or relates to your credit application,
purchase or condition of this vehicle, this contract or any resulting
transaction or relationship (including any such relationship with third parties
who do not sign this contract) shall, at your or our election, be resolved by
neutral, binding arbitration and not by a court action... Any claim or dispute is
to be arbitrated by a single arbitrator on an individual

basis

and not as a class action. You expressly waive any right you may have to
arbitrate a class action. You may choose the American Arbitration Association,
1633 Broadway, 10th Floor, New York, New York 10019 (www.adr.org), or any other
organization to conduct the arbitration subject to our approval. You may get a
copy of the rules of an arbitration organization by contacting the organization
or visiting its website.

(Id.,

Ex. 2, p. 7.)

Here, Plaintiff's

suit arises from "any aspect of the relationship between" Plaintiff and Tesla, as well as the "purchase or condition" of the subject vehicle. Plaintiff does not dispute signing the agreements which contain applicable arbitration provisions. Thus, the suit is subject to both arbitration provisions, absent some affirmative defense.

Unconscionability

Plaintiff argues that the agreements

are unconscionable. The doctrine of unconscionability refers to "an absence of meaningful choice on the part of one of the parties together with contract terms which are unreasonably favorable to the other party." (*Sonic-Calabasas A, Inc. v. Moreno* (2013) 57 Cal.4th 1109, 1133.) It consists of procedural and substantive components, "the former focusing on oppression or surprise due to unequal bargaining power, the latter on overly harsh or one-sided results." (*Ibid.*) Although both components of unconscionability must be present to invalidate an arbitration agreement, they need not be present in the same degree. (*Armendariz v. Found Health Psychcare Servs., Inc.* (2000) 24 Cal.4th 83, 114.) "Essentially a sliding scale is invoked which disregards the regularity of the procedural process of the contract formation, that creates the terms, in proportion to the greater harshness or unreasonableness of the substantive terms themselves. [Citations.] In other words, the more substantively unconscionable the contract term, the less evidence of procedural unconscionability is required to come to the conclusion that the term is unenforceable, and vice versa." (*Ibid.*) "The party resisting arbitration bears the burden of proving unconscionability." (*Pinnacle Museum Tower Assn. v. Pinnacle Market Dev. (US), LLC* (2012) 55 Cal.4th 223, 247.)

Plaintiff shows a minimal amount of procedural unconscionability. First, Plaintiff argues that the agreements are adhesive, since they are pre-printed consumer purchase agreements presented on a "take it or leave it" basis, with no meaningful opportunity to negotiate the terms. Adhesion contracts are not per se unconscionable, but may establish some degree of procedural unconscionability in the consumer context. (*Sanchez v. Valencia Holding Co., LLC* (2015) 61 Cal.4th 899, 915.) "Ordinary contracts of adhesion, although they are indispensable facts of modern life

that are generally enforced [citation], contain a degree of procedural unconscionability even without any notable surprises, and bear within them the clear danger of oppression and overreaching.” (Baltazar v. Forever 21, Inc. (2016) 62 Cal.4th 1237, 1244, quotations omitted.) The Sales Contract may be adhesive in nature, providing a small degree of procedural unconscionability, since it was presented on a take-it-or-leave-it basis without an apparent opportunity to negotiate or opt out of the arbitration terms. On the other hand, the Order Agreement is certainly not an adhesive contract. Plaintiff had the opportunity to opt out of the arbitration provision therein but chose not to do so. Thus, the arbitration provision in the Order Agreement may be independently enforced without any significant amount of procedural unconscionability.

Plaintiff also

asserts procedural unconscionability on the grounds that Defendant failed to provide him with a copy of the relevant arbitration rules or even advise which rules would be chosen. The fact that an agreement makes reference to other sources (such as the AAA rules) without providing a method to access and review such rules, or specifying which rules therein would govern, might provide for some degree of unconscionability. (Subcontracting Concepts (CT), LLC v. De Melo (2019) 34 Cal.App.5th 201, 210.) Courts have recognized that an employer’s failure to attach the arbitration rules to an arbitration agreement requires courts to scrutinize the substantive unconscionability of terms that were “artfully hidden” –but does not otherwise add to the procedural unconscionability of the agreement. (Baltazar, supra, 62 Cal.4th at 1246; Nguyen v. Applied Medical Resources Corp. (2016) 4 Cal.App.5th 232, 248; see Fitz v. NCR Corp. (2004) 118 Cal.App.4th 702 [agreement’s incorporation of AAA rules failed to relieve effect of unlawful discovery provisions provided in contract]; see also Zullo v. Superior Court (2011) 197 Cal.App.4th 477, 485 [failure to attach the rules “adds a bit” on unconscionability because it required the party to make an independent inquiry to find the applicable rules in order to fully understand what she was about to sign].) The instant sale of a luxury vehicle differs substantially from an employment contract. As will be discussed, Plaintiff cites no artfully hidden unconscionable terms. Further, both agreements advise that AAA’s consumer rules would apply, and provided a link to AAA’s website which hosts the applicable rules. Thus, the record suggests little to no procedural unconscionability.

Even if the

agreements are considered adhesive, and thus providing some degree of procedural unconscionability, Plaintiff cites no substantively unconscionable

terms to render the agreements unenforceable. An agreement is substantively unconscionable if it imposes terms that are “overly harsh,” “unduly oppressive,” “unreasonably favorable,” or “so one-sided as to ‘shock the conscience.’ ” (Sanchez, supra, 61 Cal.4th at 910-911.) “All of these formulations point to the central idea that unconscionability doctrine is concerned not with ‘a simple old-fashioned bad bargain’ [citation], but with terms that are ‘unreasonably favorable to the more powerful party.’ [Citation.]” (Id. at 911.) “These include ‘terms that impair the integrity of the bargaining process or otherwise contravene the public interest or public policy; terms (usually of an adhesion or boilerplate nature) that attempt to alter in an impermissible manner fundamental duties otherwise imposed by the law, fine-print terms, or provisions that seek to negate the reasonable expectations of the nondrafting party, or unreasonably and unexpectedly harsh terms having to do with price or other central aspects of the transaction.’ ” (Ibid.)

Plaintiff argues that the agreements unconscionably allow for a choice of arbitration forum only for the party “electing” to arbitrate. However, Tesla is not electing to arbitrate anything. Plaintiff is the party bringing the arbitration against Tesla, and thus is the party “electing” to arbitrate. The contracts provide that the forum of the arbitration shall be the city or county of Plaintiff’s residence, which presumably favors Plaintiff. Plaintiff also contends that the election process favors Tesla. However, Plaintiff cites distinguishable authority for this point. (See Chavarria v. Ralphs Grocery Co. (9th Cir. 2013) 733 F.3d 916, 924 [Ralph’s arbitration policy would always produce an arbitrator proposed by employer in employee-initiated arbitration proceedings, among other unconscionable terms requiring the arbitrator to impose significant costs on employee up front].) The Chavarria case also affirms that organizations such as AAA allow for a neutral arbitrator selection process. (Id., at 923.) Here, both agreements require neutral arbitrators under the AAA rules. The cited provision thus provides no substantive unconscionability.

Plaintiff argues that the arbitration-cost provisions are substantively unconscionable. However, Plaintiff cites no portion of the arbitration provisions or AAA rules which would unfairly allocate costs to Plaintiff. The arbitration provisions here require Tesla to “pay all AAA fees for any arbitration.” Even if Plaintiff must ultimately reimburse Tesla’s costs for an unsuccessful claim under unspecified AAA rules, such a reimbursement sounds much like the cost shifting statutes in court actions. Critically, Plaintiff also does not provide any substantial

evidence that arbitration fees and costs would in fact be unaffordable or have a deterrent effect on Plaintiff. Thus, Plaintiff's argument that arbitration would impose prohibitive costs on Plaintiff is unsupported.

Arbitration

Forum

Lastly, Plaintiff requests that if he must arbitrate his claims, then he elects to arbitrate at JAMS rather than AAA. The FAA and CAA both require that arbitrator selection clauses be enforced according to their terms. (9 U.S.C. § 5; CCP § 1281.6.) Plaintiff cites no contractual provision which would allow his unilateral request. The contracts expressly require arbitration under the AAA rules. Under the Sales Contract, another organization may be selected upon mutual approval. Defendant opposes this request, and thus does not approve of JAMS arbitration. Plaintiff must therefore be compelled to arbitrate with AAA.

Conclusion

Defendant meets its burden to demonstrate the existence of an arbitration agreement between the parties that covers Plaintiff's claims. Plaintiff, in turn, fails to demonstrate that the agreement is unconscionable. Defendant's motion is therefore GRANTED and the Court orders Plaintiff's claims to arbitration, as discussed above. The entire action is STAYED pending the completion of the arbitration. (CCP § 1281.4.)